



REM2 Research Methods

Lecture 2: Critical Reading

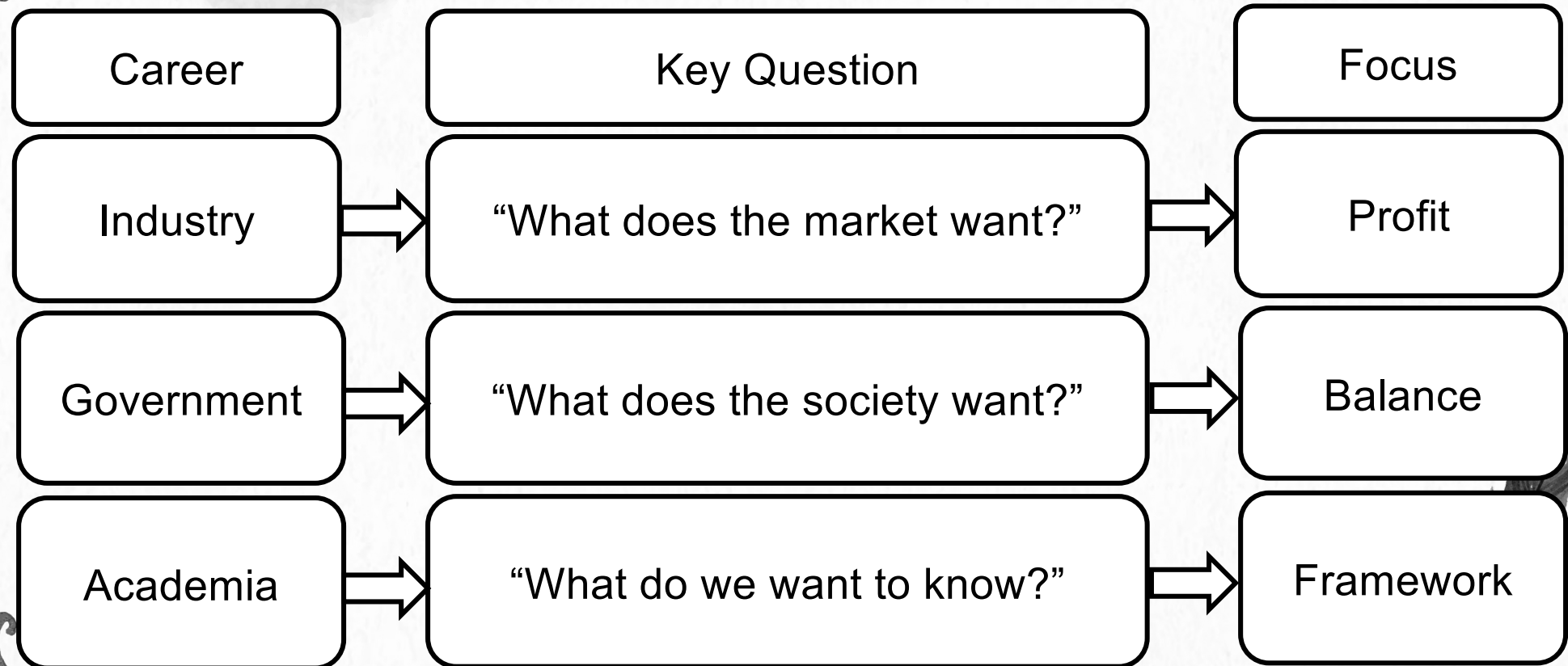
(A practical guide to literature review)

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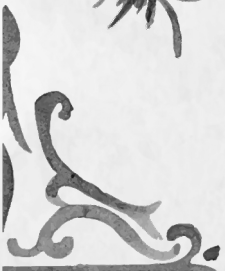
Getting Started – the right question





The final product – your MSt dissertation

The basic structure: repeat the same ‘story’ four times

1. Abstract (An elevator pitch!)
 2. Introduction (What motivates this research?)
 3. Main body – literature review, analytical framework, data and methods, results and discussions (Can this study be replicated by following the descriptions in these sections?)
 4. Conclusions (What’s the contribution? What should be done next?)
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Lecture Plan

1. What is a literature review?
 - Is it just a log book of what you have read?
2. Why do we need a literature review?
 - Is it just a part of your dissertation that nobody reads?
3. How to conduct a literature review?
 - Are there any guidelines and good examples?
4. Practical session
 - Pick a topic for your dissertation and let's give it a go.





What is a literature review?



Summary

What are the most important and recent publications in a specific area (e.g., climate risks and commercial real estate valuation, discrimination against same-sex couples in the mortgage market, determinants of hotel vacancy rate, ...)?



Evaluation

What has been done and are there any research gaps (What contribution can MY research make in light of the literature) ?

Justification

What methods and data should be used in MY research (e.g., quantitative vs qualitative methods, time series vs cross-sectional data)?





Why do we need a literature review?



Evidence of knowledge and background

More often than not, we do not re-invent the wheels, but stand on a giant's shoulder. A good literature review helps us to find that “shoulder”.



Research focus



One dissertation should answer one and only one question. What is your research question?

Contributions

Is your research novel and rigorous enough to meet the academic standard?





How to conduct a literature review?

Where to start?

*There are some good databases
and software packages*

How many papers?

*20 – 40 academic publications, on
average*

Who to cite?

*Check citation counts and journal
reputation*

Time frame?

*The last 5 to 10 years are the most
important. Don't forget classics*

What structure?

*It depends! Clarity and coherence
are important*

How long should it be?

*Depending on the depth of the
literature and the complexity of
the research topic*



Exercise One – An Example

Instructions: Read the paragraphs on pages 2 to 5 and answer the following questions.

1. Can you find the full text of this paper, i.e., Gete, P., et al. (2024)?
2. Where can you find the cited papers online?
3. Can you tell the quality of the cited papers?
4. Are the cited papers relevant to the research topic?
5. What is the period covered by cited papers? Are they recent?
6. What purposes does the literature review serve?
7. Why did the authors cite Freddie Mac.(2021a and 2021b) in the Data section?
8. Why did the authors cite Abadie et al.(2022) and Bertrand et al. (2004) in the Specification section?
9. Why did the authors cite Rossi (2021) and Higgins et al.(2022) in the Results section?
10. Is the length of the literature review section appropriate for a MSt dissertation?





Exercise 1 - Recap



Key learning points:

- 1.
- 2.
- 3.

What do you want to know more:

- 1.
 - 2.
 - 3.
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Exercise Two – Create Your Own

Instructions: complete the tasks given below.

1. Download and install Endnote. Create a new Endnote file on your computer.
2. Open the Web of Science (WoS) database. Use the basic search to find Gete, P., et al. (2024). "Climate risk in mortgage markets: Evidence from Hurricanes Harvey and Irma." *Real Estate Economics* 52(3): 660-686.
3. Export the citation of this paper to your new Endnote file. Make sure you include abstracts in the export.
4. Download the pdf version of the paper from WoS, and add it to the Endnote entry.
5. Export papers cited by this paper to your new Endnote file. Make sure you include abstracts in the export. Create a Group called 'Cited paper' and put these papers in that group.
6. Go back to WoS search result page. Sort cited paper by Citations (highest first). Locate the most relevant paper (i.e., Do managers overreact to salient risks? Evidence from hurricane strikes, by Dessaint and Matray, 2017). Check the journal's ranking. Is this a good journal?



Exercise Two – Create Your Own (Cont'd)

7. Check the papers cited papers Dessaint and Matray (2017). Sort them by publication dates. Select five most relevant publications of your choice, and save them to the marked list.
8. Next, sort the papers cited papers Dessaint and Matray (2017) by citation counts. Select five most relevant publications of your choice, and save them to the marked list.
9. Export papers in the marked list to Endnote. Make sure you include abstracts in the export. Create a new group named “Relevant References” for this set of papers.
10. Create a new Word document. Copy and paste the text in the blue textbox on this slide to the document. Save the file in your computer.
11. Use Endnote to create a reference list for these paragraphs.

Our article is novel in analyzing how hurricane-induced default risk translates into market- based mortgage pricing. Our results show that existing mortgage rates in the United States do not reflect the climate risks that markets would price. This result brings a different risk dimension to (Hurst et al., 2016), who show that lack of risk-based pricing provides insurance across locations.

Another contribution of this article is to accurately estimate the increase in mortgage default probabilities caused by hurricanes. We show additional evidence of the effects of natural disasters on loan defaults (see, e.g., Kousky, Kunreuther, et al., 2020; Kousky, Palim, et al., 2020; Rossi, 2021).

This article also contributes to the housing finance literature. We contribute to this literature by estimating the differences between market-based pricing and GSE statutory g-fees. Pavlov et al. (2021) and Stanton and Wallace (2011) study how mortgage credit risk was not reflected in the prices of credit default swaps during the 2008 financial crisis, pointing out the failure of transferring credit risk to the market.





Exercise 2 - Recap



Key learning points:

- 1.
- 2.
- 3.

What do you want to know more:

- 1.
 - 2.
 - 3.
- 
- 

Exercise Three – Shortcuts to the Shoulders

Instructions: complete the tasks given below.

1. Go to WoS. Use the basic search function to find the following paper:
Contat, J., et al. (2024). "When climate meets real estate: A survey of the literature." Real Estate Economics 52(3): 618-659.
2. Read Table 1 in Contat, J., et al. (2024). Do you think a similar table is helpful in your own literature review? How to create a similar table in Excel? Is it helpful for note-taking? Is meta-analysis or literature review papers good starting point for your own literature review?
3. Choose a topic that you are interested in. Pick four keywords to do a basic search. Note the number of papers returned from the search. Are all of them relevant?
4. Can you find literature review papers from the search result?
5. Save your search results.
6. Open one of the papers from the search result. Evaluate its relevance to your research topic.





Exercise 3 - Recap



Key learning points:

- 1.
- 2.
- 3.

What do you want to know more:

- 1.
 - 2.
 - 3.
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Any Questions?